Quang-Vinh Dang
British University Vietnam
Hung Yen, Vietnam
vinh.dq4@buv.edu.vn

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The Co-Editors
Environment and Development Economics

Dear Co-Editors,

We submit "Credible on Paper? Green Banking Policy, Access to Finance, and Institutional Capacity in the Greening of Firms Worldwide" for consideration as a research article in *Environment and Development Economics*.

The paper asks whether green banking policy adoption — specifically, membership of the IFC-convened Sustainable Banking and Finance Network, which now spans more than sixty emerging and developing economies — changes the firm-level relationship between access to bank credit and green investment behavior, and whether that depends on the regulatory capacity available to make the supervisory guideline credible. It is, to our knowledge, the first firm-level test of that premise across a broad cross-section of adopting economies rather than within a single jurisdiction, and it is built throughout on the World Bank Enterprise Surveys family of instruments that this journal has published firm-level environmental work on before — including cross-country studies of environmental management and productivity growth (41 countries, 2017–2019), and of green practices and global-value-chain integration, both using the Business Environment and Enterprise Performance Survey (BEEPS), the same World Bank/EBRD survey family our own primary sample draws on. We see the paper as a direct extension of that line of work to the specific policy-credibility question this journal's scope names explicitly.

Using two independently assembled World Bank Enterprise Survey samples — a 41-economy harmonized sample on a seven-item green-practice outcome, and a second 162-economy sample reaching into high-income economies entirely outside the network's remit — we find that bank credit access is robustly associated with green practice adoption, but that neither SBFN adoption nor regulatory quality moderates that relationship under any of four estimators, on either sample. Both institutional variables instead shift the general *level* of green adoption. What we think earns this null a hearing rather than a shrug is that the estimates are precise, not merely insignificant: the causal forest's credit effect differs by only 0.004 between SBFN adopters and non-adopters, and is flat across regulatory-quality terciles — a design able to distinguish a genuine absence of moderation from one too underpowered to detect it, which most single-country studies in this literature cannot do. A country-level Callaway-Sant'Anna staggered event-study on an independent World Development Indicators panel (217 economies, 2000–2024) converges on the same conclusion from a different data source, unit of analysis, and identification strategy. Where effect heterogeneity does exist, the causal forest locates it at firm size rather than country institutions — which we report as an auxiliary, exploratory finding, and which relocates rather than resolves the institutional question.

We want to disclose one thing directly rather than let a reviewer discover it. An earlier version of this manuscript was submitted elsewhere and desk-rejected, correctly, for two errors in how it described its own identification. First, it asserted that a country fixed effect would absorb the credit-by-SBFN interaction and leave it unidentifiable; that is false, since the interaction is a firm-level regressor and credit access varies within country. Second, it described the Bayesian hierarchical model as the primary test of the paper's three-way hypothesis (H3) when that model contains only two-way cross-level interactions. We have corrected both. No estimate, table, or figure changed: the errors were in prose describing the econometrics, not in the analysis, and H3 was in fact already tested by the saturated triple interaction we now report by name. Section 4.3 now states precisely what a country fixed effect does and does not absorb, and why the primary sample's eight adopter economies make the fixed-effects route imprecise rather than infeasible; Sections 4.3 and 5.3 now scope each estimator to the hypothesis it actually tests. We would rather surface this than have it found.

On identification more broadly, we are explicit in the manuscript (Section 4.1) that the firm-level design is cross-sectional and cannot exploit SBFN's staggered adoption timing, because the Enterprise Surveys' Green Economy module has been fielded to a given country essentially once and never re-fielded comparably after an adoption date. Rather than leave that gap, we built the staggered-adoption design on an independent macro data source and report it in Section 6, including its one significant result and our reasons for not reading it causally. Five tests, three data sources, three units of analysis, and one genuinely quasi-experimental design converge on the same substantive answer.

This manuscript is not under consideration elsewhere, and the authors declare no competing interests. Data and code are available in a public GitHub repository, cited in the manuscript.

Sincerely,

Quang-Vinh Dang
Corresponding author
British University Vietnam, Hung Yen, Vietnam
vinh.dq4@buv.edu.vn

Thi-Hong-Hanh Nguyen
Banking Academy Vietnam, Hanoi, Vietnam